

Saudi Arabia

General Authority for Competition

I. Introduction

Computational antitrust can assist antitrust agencies in navigating increasingly complex and dynamic markets. Implementing computational methods can enhance antitrust agencies' ability to detect, analyze, and remedy anticompetitive practices. These tools can also simplify merger control and related procedures.

In October 2017, the Kingdom of Saudi Arabia's Council of Ministers adopted Resolution No. (55) to change of the name from the "Council of Competition" to the "General Authority for Competition" (the "Authority") and to approve the Authority's Statute. The Authority continuously employs and improves various tools to enhance market monitoring and enforce competition laws.

II. Business Intelligence (BI) platform

The Authority has implemented a Business Intelligence (BI) platform to visualize its market analysis. The platform serves as a central repository for market indices and insights, encompassing a wide range of industries, in collaboration with public institutions and private data providers. The BI platform provides insightful assessments of sectoral competitiveness. Key metrics such as the number of market players, their market size, revenue figures, and other relevant data points are readily available through the platform. This comprehensive overview empowers the Authority to gain an in-depth understanding of the competitive landscape within each sector.

While the BI platform offers significant advantages, it also presents certain challenges. A critical consideration lies in integrating data from diverse sources. Data inconsistencies and varying formats can pose challenges to seamless integration. Furthermore, establishing data-sharing agreements with private providers requires careful consideration of data privacy and security concerns.

In addition to the sectorial assessments, the platform visualizes the analysis of specific areas of interest to competition, such as public procurement, goods prices, and consumer sentiments.

III. Bid-rigging Screening

Currently, the Authority uses two levels of screening. The first screening focuses on pricing. It employs mathematical and financial relationships to screen market price patterns for potential indications of collusion. Supervised machine learning models, trained with existing screening data, are used to predict the risk of collusion by recognizing patterns that are not immediately apparent through traditional analysis methods. This allows the Authority to efficiently and accurately screen large volumes of data, improving the probability of identifying cartels at an early stage. The results of the analysis are streamlined on the BI platform and shared internally with other enforcement departments with the Authority.

The second screening uses market-level analysis to detect behaviors such as market sharing, rotation, or other forms of coordination, considering the market structure of the industry. Advanced econometric models help identify or justify pricing or quantity anomalies, demand growth, and other irregularities indicative of collusive behavior before reporting them. The Authority continuously refines these methods and improves them by collaborating on advanced economic and statistical research. This integration of the latest innovations from economic studies enhances detection techniques, keeping the Authority at the forefront of cartel detection.

Additionally, the Authority is set to integrate the use of advanced AI with its existing tools to improve cartel detection. One important method is network analysis, which will help the Authority to understand the relationships between market participants in different markets (such as the public procurement market). By analyzing publicly and commercially available data, such as commercial registrations within different tenders, it can draw connections to identify complex patterns and relationships that may indicate collusion. This analysis allows the Authority to visualize connections between different market participants, identify unusual clusters of activity, and detect anomalies that could signal cartel formation or existence, and thus possible infringements.

If a matter is under investigation, and documents are obtained during dawn raids, the Authority will incorporate this new data with pre-existing data to map the relationships between assumed cartel members. This method ensures that any suspicious patterns are identified and backed by robust data.

Moreover, the Authority uses its own classification system of industries on the basis of industry concentration and is set to use a less aggregated product-level

supplier concentration classification system for most of the products and services frequently referred to in public tender procedures. This classification will help not only to connect the lines between participants in different markets under investigation but also to set an *ex ante* procedure to identify markets that have the greatest risk of collusion based on some indicators for collusion identified in literature. This will enable appropriate advocacy policy to reduce these risks.

IV. Prices

The price monitoring platform is a data-driven approach to tracking and analyzing pricing data across a range of consumer products locally and within the GCC region. It uses various price volatility and brand concentration indices to reveal important information related to market power, pricing coordination, demand growth, and market trends. The platform's regional scope provides valuable insights into pricing dynamics across the GCC region, enabling a more holistic understanding of market competition through price and brand benchmark indices.

V. Consumer sentiment

The Authority employs a public opinion monitoring tool that tracks and analyzes public sentiment on competition issues across various media channels, including social media, television news, and newspapers. The tool uses keywords to identify content relevant to the Authority and the enforcement of competition law. Currently, around 55 words are incorporated, and this pool is frequently updated. Examples of keywords including tying, bundling, abuse of a dominant position, and monopoly. This tool allows the Authority to identify emerging competition issues that cause public concern. Such insights are considered when prioritizing investigations and enforcement actions, ensuring that the Authority focuses its resources on areas of greatest concern to consumers.

VI. E-platform

The Authority uses a dedicated E-Platform “Monafsah” for managing Mergers & Acquisition (M&A) notifications and applications. This platform streamlines the entire process, enhancing efficiency and transparency. Complex applications can also be broken down into smaller, more manageable inputs for thorough analysis. Importantly, the E-Platform extends its functionalities beyond M&A, serving as a centralized system for managing settlements, leniency programs, complaints,

surveys, and exemption requests. This centralized approach fosters efficient case management and reduces administrative burdens for both the Authority and applicants. Additionally, the platform serves as a valuable repository of M&A information and statistics internally and through open data protocols, providing data-driven insights for future case reviews and informed decision-making. This data can also offer valuable insights into the Authority's internal and external processes related to M&A regulation, facilitating continuous improvement.